Forfeit and Reissue of Shares

cancel it, then sell it again!

Financial Accounting-2

In simple words *Defaulter's shares are cancelled; money already paid is kept, and the shares can be sold again.*

1 Forfeiture of shares

Company cancels shares for non-payment of call money. Share capital is debited by the called-up amount; amount received is kept.

Debit capital at CALLED-UP, not issue price

2 Reissue of shares

Sale of forfeited shares again. Any discount allowed is charged to Forfeited Shares A/c; the surplus left goes to Capital Reserve.

1. Forfeiture entry: Share Capital Dr (called-up), to Calls in Arrear and Forfeited Shares A/c (amount received).
2. If premium was not received, debit Securities Premium also. If it was received, it is not reversed.
3. On reissue, Share Capital is credited with the paid-up value given to the new holder, even if cash is lower.
4. Discount on reissue cannot exceed the forfeited amount of those shares.



Swipe for the formula →

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THE FORFEITURE MATHS

Forfeiture and Reissue of Shares

two lines, that's all

Forfeited Shares A/c credit

FORFEITED A/C =

Called-up face value − Unpaid calls

Called-up face value = share capital debited. Unpaid calls = calls in arrear on face value. Premium is handled separately.

Capital Reserve on reissue

CAPITAL RESERVE = F − D

F = forfeited balance for the shares reissued only (pro rata, if part reissued). D = discount allowed on reissue.

ONLY THE GAIN STAYS AS RESERVE! After reissue, the Forfeited Shares balance left for those shares moves to Capital Reserve.

Swipe for a memory trick →

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STUDY TRICK

Forfeiture and Reissue of Shares

remember the three steps

CANCEL, KEEP, SELL, SAVE

Cancel at called-up. Keep money received in Forfeited A/c. Sell again with any discount. Save leftover gain in Capital Reserve.

HOW TO ATTEMPT IT

1 Find called-up and amount received → 2 Pass forfeiture entry →

3 Find forfeited balance per share → 4 Pass reissue entry, show discount

→ 5 Move leftover to Capital Reserve

EXAM TIP

In part reissue, take only the matching share of the Forfeited balance to Capital Reserve. Leave the rest in the account.

DOUBT BUSTER

Is the premium reversed when shares are forfeited? Only if it was not received. Premium already received is not reversed. If it is unpaid, debit Securities Premium.

Swipe for common mistakes →

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COMMON MISTAKES

Forfeiture and Reissue of Shares

don't lose easy marks

✗ Debiting Share Capital with the full face value on forfeiture

✓ Debit only the called-up amount. Uncalled amount was never recorded as capital.

✗ Crediting Forfeited Shares A/c with the called-up amount

✓ Credit it with the amount actually received on face value. Unpaid calls are credited separately.

✗ Reversing premium already received on forfeiture

✓ Reverse Securities Premium only if it was not received. Received premium stays.

✗ Transferring the full Forfeited A/c balance to Capital Reserve on part reissue

✓ Transfer only the balance for reissued shares, after discount. Keep the rest.

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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